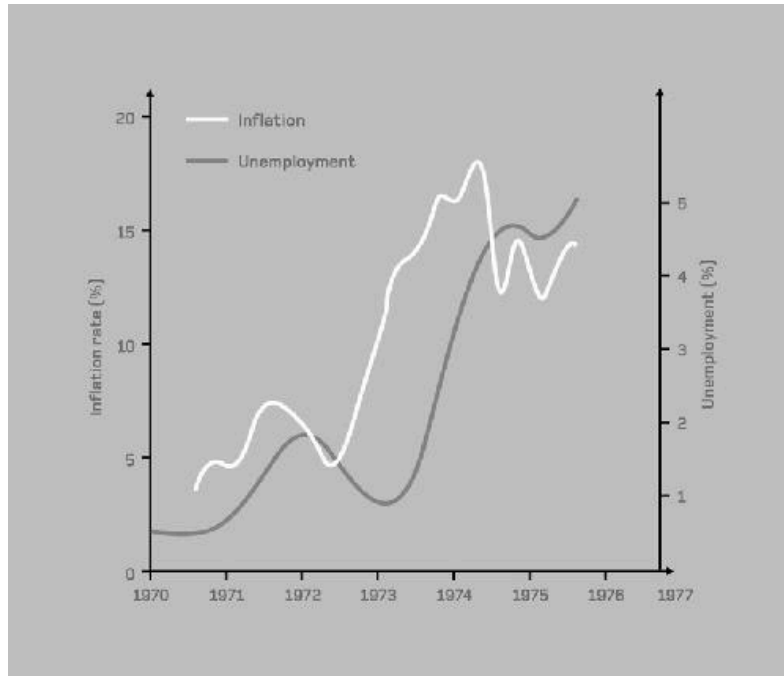


Stagflation

Stagflation was a term used to describe the twin ills of the 1970s: persistent inflation and unemployment. At the time, much economic thinking was based on the Phillips curve, which suggested that high inflation coincides with *low* unemployment (see [The Phillips curve](#)). During the 1970s, however, unemployment and inflation rose together, contradicting the Phillips curve.

New theories, notably those of Milton Friedman (see [Monetarism](#)), tried to explain this by denying that the Phillips curve really held in the long run. Economists had believed that by spending more money the government could boost the economy, driving down unemployment and pushing up inflation. Friedman argued that higher inflation would lead workers to realize their real wages were lower and make them less willing to work. Labour supply would fall and the economy would return to the previous level of unemployment, now at a higher rate of inflation. According to this view, the only way to sustain the lower level of unemployment was through ever-higher inflation.



In a situation of stagflation, unemployment and inflation rise together, as seen in the Australian economy during the 1970s.